



SPONSOR: Sen. Poore & Rep. Chukwuocha
Sen. Townsend

DELAWARE STATE SENATE
153rd GENERAL ASSEMBLY

SENATE BILL NO. 189

ACT TO AMEND TITLE 18 OF THE DELAWARE CODE RELATING TO UNFAIR PRACTICES IN THE
INSURANCE BUSINESS.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF DELAWARE:

1 Section 1. Amend § 2322, Title 18 of the Delaware Code by making deletions as shown by strike through and
2 insertions as shown by underline as follows:

3 § 2322 Release of claim or settlement agreement by injured persons in automobile accidents

4 (a) A release of a claim of an individual for injuries resulting from an automobile accident, signed by the
5 individual within 30 days of the infliction of the injuries without the assistance or guidance of an attorney at law, and
6 without any power of attorney to or contract of employment with an attorney at law, with reference to recovery of damages
7 resulting from the accident, may be rescinded by the injured individual within 60 days after the date on which the
8 individual signed the document, or, if no release is signed, within 60 days from the cashing of a settlement check or transfer
9 of electronic funds.

10 (b) For a rescission under subsection (a) of this section to be effective, all of the following must be satisfied:

11 (1) The notice of rescission must be in writing to the releasee, or to the releasee's legal representative or
12 insurance carrier.

13 (2) The injured individual must return to the releasee or releasee's legal representative or insurance
14 carrier any check or settlement proceeds received by the injured individual.

15 (3) The items required by paragraphs (b)(1) and (b)(2) of this section must be sent to the releasee or
16 releasee's legal representative or insurance carrier no later than 10 days after the expiration of the 60-day
17 rescission period.

18 (c) A release of liability executed within 30 days of the incident giving rise to the claim for personal injury must
19 contain a notice of the individual's right to rescind the release, stated conspicuously and separately on the release or
20 settlement check. If no release or settlement check exists, the required language must be provided to individual via written
21 communication.

22 Section 2. This Act takes effect 6 months after its enactment into law.

SYNOPSIS

This legislation is intended to ensure that individuals can, for a period of 60 days, rescind approval of a settlement in a personal injury case involving an automobile accident if the individual was unrepresented at the time of settlement and if payment is returned upon rescission. This act also requires notice to be given to an unrepresented individual of their right of rescission in the release of liability. These changes will allow an individual greater ability to make an informed decision. This Act becomes effective on 6 months after its enactment into law.

Author: Senator Poore